

Lecture 10 – Economics and Business Administration
Income Statement

Financial Statement Analysis: Overview

- The **synthesis of financial statement values** enables users to move beyond the reported accounting profit and form judgments on:
  - The company's ability to comply with the **principle of financial sustainability**;
  - **The conditions** that may favor **future economic sustainability**

- To make the reading and analysis of results more effective, two tools are used:
  - **Reorganization of financial statements**
  - Construction of **ratios** or key performance indicators (KPIs)

Reorganization of Financial Statements

- **Reorganization of financial statements**: restating line items and amounts in an analytically more useful format
  - **Obtain additional information** compared to that provided by the original formats

- The reorganization approach **differ between** the **Income Statement** and the **Balance Sheet**

Reorganization of Financial Statements

INCOME STATEMENT

Criteria
By Nature or
By Function (IAS 1)

From which phenomena did the reported profit or loss arise, and which will have effects in the future?

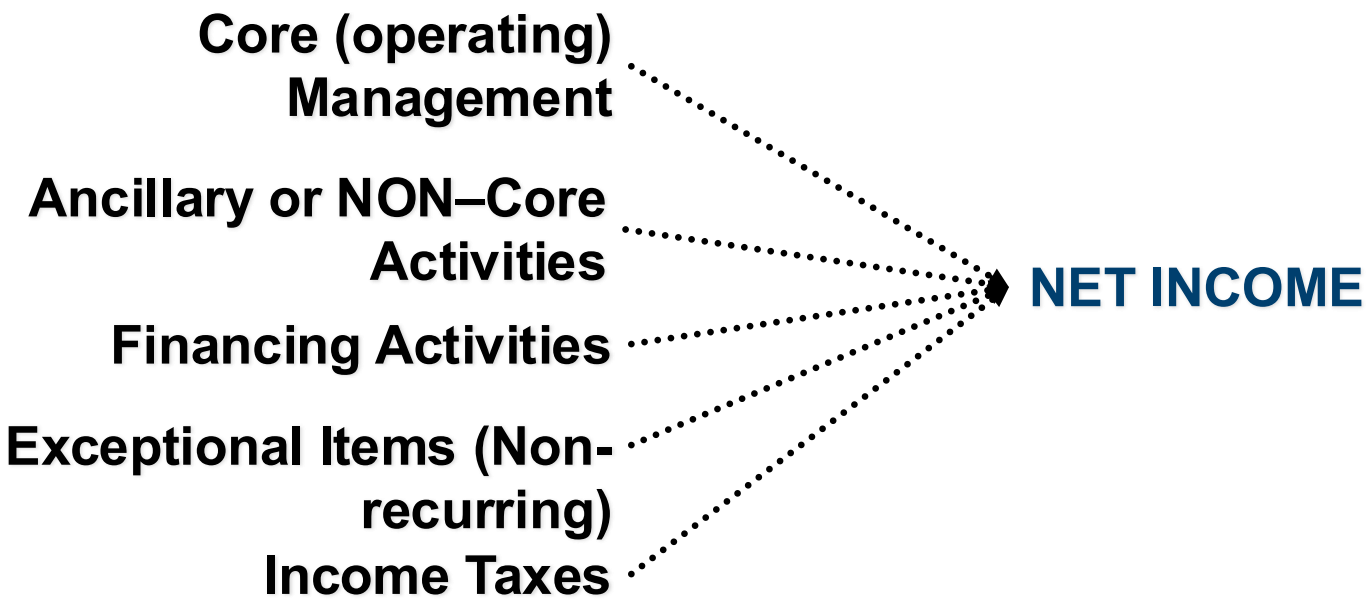
BALANCE SHEET

Financial **criteria**

How are assets financed across different sources of capital?

Income Statement Reclassified by Management Area

The reorganization of the **IS** according to the **management area classification approach** aims to highlight the **contribution of each management area** to the formation of the **final net income**.



Income Statement Reclassified by Management Area (1/3)

Core Management	All the operations that constitute the company's core business
Non-Core Activities	1. Non-core investment activities that generate positive/negative income components (e.g., dividends, interest income, gains/losses) 2. Activities ancillary to the core business (e.g., royalties, rental income, merchandising)
Financing Activities	
Exceptional Items (Non-recurring)	
Income Taxes	Current, deferred, and prepaid taxes, including related refunds
Net Income	

Income Statement Reclassified by Management Area (2/3)

Core Management
Non-Core Activities
Financing Activities
Exceptional Items (Non-recurring)
Income Taxes
Net Income

Income effect of transactions aimed at covering **the financial needs of the company** through access to costly sources of financing

Income components
a) **Not economically attributable to the current accounting period** (e.g., non-recurring gains, or prior-period bad debt losses);
b) Transactions of an **unusual nature** or arising from structural changes in the company (e.g., gains/losses on disposal of business units, restructuring costs, …);
c) **Infrequent transactions and events** (e.g., gains/losses on disposal of non-core assets, losses from accidental events such as fires, floods, …).

Income Statement Reclassified by Management Area (3/3)

Core Management
Non-Core Activities
Financing Activities
Exceptional Items (Non-recurring)
Income Taxes
Net Income

Current, deferred, and prepaid taxes, including related refunds

Income Statement Reclassified by Management Area

- The reorganization of the income statement according to the **management area classification criterion** makes it possible to:
  - understand the factors that led to the **formation of the profit for the period**, in particular the contributions of the individual management areas;
  - obtain useful information for assessing the firm's sustainable profitability;
  - express judgments on profitability balance and therefore on **the company's financial sustainability** as a going concern

Income Statement Reclassified by Management Area: the interim results

Core (operating) Management
Non-Core Activities
Financing Activities
Exceptional Items (Non-recurring)
Income Taxes
Net Income

+ Net Revenue
− Core Operating Costs (Cost of Goods Sold – COGS)
= Operating Income from Core Operations [1]
+ Income from Non-Core Activities
− Expenses from Non-Core Activities
= Operating Result from Non-Core Activities [2]
= EBIT [1+2]
+/- Net interests
+/− Exceptional items (non-recurring)
= EBT (Earnings Before Tax)
− Income Taxes
Net Income

Income Statement Reclassified by Management Area: the interim results

From this reorganization, the following subtotals can be identified:

- **Operating Income from Core Operations:** result of the management operations that strictly identify the firm's core business function
- **EBIT:** sum of Core Operating Income [1] and Operating Result from Non-Core Activities [2] (i.e. EBIT = [1] + [2])
- **Operating Result from Non-Core Activities:** income and expenses from non-core investment activities (e.g. dividends, rental income, gains/losses on financial assets)
- **EBT (Earnings Before Tax):** considers gains and losses from exceptional (non-recurring) items
- **Net Income (NI)**

Alternative Cost Classification Approaches

There are different ways to group income components:

1. By **function**

2. By ability to remunerate production factors: highlighting **the value that the company has added to production factors purchased from external suppliers**

3. **By degree of variability**: Variable costs vs Fixed costs

+ Net Revenue	**+ Output for the Period**	**+ Net Revenue**
− Cost of goods sold (COGS)	− External input costs	− Variable cost of goods sold
= Gross Profit	**= Value Added**	**= Contribution Margin**
− Selling Costs − Administrative Costs	− Personnel Costs	− Fixed manufacturing costs − Fixed selling costs − Fixed administrative costs
− Net Consumption of Materials	**= EBITDA**	
	− Depreciation, Amortisation & Provisions	
= EBIT		

Hands-On: Revenue and Other Operating Income (OIC)

ESPRINET S.P.A.

20871 Vimercate

Società quotata
This company is the Global Ultimate Owner of the corporate group

Codice fiscale 05091320159
Numero CCIAA MB1158694

Conto economico

Worksheet view Opzioni

Colonne

Bilancio non consolidato Visualizza bilanci consolidati	31/12/2022 migl EUR	31/12/2021 migl EUR	31/12/2020 migl EUR	31/12/2019 migl EUR	31/12/2018 migl EUR	31/12/2017 migl EUR	31/12/2016 migl EUR	31/12/2015 migl EUR	31
	12 mesi Dettagliato Origin. IFRS ICS	12 mesi Dettagliato Origin. IFRS ICS	12 mesi Dettagliato Origin. IFRS ICS	12 mesi Dettagliato Origin. IFRS ICS	12 mesi Dettagliato Origin. IFRS ICS	12 mesi Dettagliato Origin. IFRS ICS	12 mesi Dettagliato Origin. IFRS ICS	12 mesi Dettagliato Origin. IFRS ICS	D Or
A. TOT. VAL. DELLA PRODUZIONE	2.719.248	2.830.337	2.744.369	2.524.173	2.267.798	1.917.559	1.951.846	2.015.160	1
A.1. Ricavi vendite e prestazioni	2.719.248	2.830.090	2.744.369	2.524.173	2.267.798	1.917.559	1.951.846	2.015.160	1
A.2. Var. rimanenze prodotti	0	0	0	0	0	0	0	0	
A.3. Variazione lavori	0	0	0	0	0	0	0	0	
A.2. + A.3. Totale Variazioni	0	0	0	0	0	0	0	0	
A.4. Incrementi di immob.	0	0	0	0	0	0	0	0	
A.5. Altri ricavi	0	247	0	0	0	0	0	0	
Contributi in conto esercizio	0	n.d.	0	0	0	0	0	0	

Revenue and Other Operating Income

- **Operating revenues**:
  - Revenues arising from the **sale of goods**
  - Revenues related to the company's **core and ordinary business activities**
- **Other operating income**:

  The heading «other operating income» includes **economic benefits** arising from the company's operating activities**, but not directly related to its core business**

  Examples of other operating income include:

  - Rental income from company-owned properties
  - Compensation for damages
  - Capital gains on the sale of tangible and intangible assets
  - Royalties

Changes in Inventories of Finished and Semi-Finished Goods (OIC)

The line item includes **the algebraic difference between the value of ending inventories and beginning inventories** of finished and semi-finished products

This difference may arise from

- A change in physical quantities
- A change in the value attributed to inventories

If the change is positive (>0), it eliminates the distortion effect of production costs that are not economically attributable to the current period.

- **Change in inventories of finished goods includes:**
  - Work in progress (contracts in progress)
  - Finished goods and merchandise

Hands-On: Production Cost (OIC)

B. COSTI DELLA PRODUZIONE	2.691.636	2.799.692	2.720.514	2.507.026	2.265.235	1.901.164	1.932.335	1.980.723	1
B.6. Materie prime e consumo	2.569.656	2.691.685	2.622.681	2.414.385	2.166.521	1.819.846	1.848.573	1.899.771	1
B.7. Servizi	47.495	45.600	40.460	31.885	54.181	41.009	41.682	40.923	
B.8. Godimento beni di terzi	0	0	0	0	0	0	0	0	
B.9. Totale costi del personale	58.785	47.541	42.917	41.327	40.620	34.167	34.719	33.623	
B.9.a. Salari e stipendi	57.952	47.541	42.917	41.327	40.620	34.167	34.719	33.623	
B.9.b. Oneri sociali	0	0	0	0	0	0	0	0	
B.9.c. Tratt. fine rapporto	0	0	0	0	0	0	0	0	
B.9.d. Tratt. di quiescenza	0	0	0	0	0	0	0	0	
B.9.e. Altri costi	833	0	0	0	0	0	0	0	
B.9.f. TFR + quiescenza + altri costi	833	0	0	0	0	0	0	0	
B.10. TOT Ammortamenti e svalut.	12.150	11.147	14.285	10.621	3.785	3.163	3.075	2.392	
B.10.a. Amm. Immob. Immat.	423	187	242	291	557	382	431	326	
B.10.b. Amm. Immob. Mat.	11.727	10.960	10.569	10.330	3.228	2.781	2.644	2.066	
B.10.c. Altre svalut. Immob.	0	0	0	0	0	0	0	0	
B.10.a+b+c. Amm. e svalut. delle immob.	12.150	11.147	10.811	10.621	3.785	3.163	3.075	2.392	
B.10.d. Svalut. crediti	0	0	3.474	0	0	0	0	0	
B.11. Variazione materie	0	0	0	0	0	0	0	0	
B.12. Accantonamenti per rischi	266	670	171	5.425	128	0	311	0	
B.13. Altri accantonamenti	0	0	0	0	0	0	0	0	
B.14. Oneri diversi di gestione	3.284	3.049	0	3.383	0	2.979	3.975	4.014	
RISULTATO OPERATIVO	27.612	30.645	23.855	17.147	2.563	16.395	19.511	34.437	
Valore Aggiunto	98.813	90.003	81.228	74.520	47.096	53.725	57.616	70.452	

Consumption of Raw Materials and Consumables

The line item includes the economic amounts relating to:

- **Purchases of raw materials and consumables made during the relevant accounting period**
- Cost of services purchased externally
- Change in inventories of raw materials and consumables

Material consumption =

Purchases of raw materials + **Initial stock of materials – Final stock of materials**

- **Positive difference** (decrease in inventory value) = the company has consumed raw materials for its production
- **Negative difference** (increase in inventory value) = the company has "saved" inventories for future production

Operating Costs

Operating costs include:

- **Personnel costs**: **salaries and wages, social security contributions and severance pay**, and more generally employee benefit plans

- **Other operating expenses**:
  - Direct and indirect **production** costs, both internal and external
  - Ordinary maintenance and repair costs
  - Distributions, commercial and administrative costs
  - Rental expenses and operating lease payments
  - Capital losses on the disposal of tangible and intangible assets

- **Capitalized internal work costs**: Costs incurred for improvements, upgrades, and transformation of tangible assets

Operating costs: Depreciation

- **Depreciation**: value of the "share" of multi-year utility resources (non-current assets) that is 'consumed' during the production process or "depreciates", meaning that loses monetary value, due to technological obsolescence
  - *Straight-line method*: equal amounts over the asset's useful life
  - *Declining-balance method*: higher depreciation in the early years
  - *Units-of-production method*: depreciation based on actual usage or output generated by the asset

- *Straight-line depreciation formula*: $\mathbf{(V_0 - V_f) / T}$
  - V_0: acquisition cost of the asset
  - T: useful life (years of use within the company)
  - V_f: estimated residual value at the end of T
- Depreciable amount = acquisition costs – residual value

Different depreciation strategies = different impacts on profit

Example of Income Statement Reclassified by Management Area: Non-Core Activities

= Core Operating Income [1]
+ Financial income from securities and financial fixed assets
+/- Impairments and revaluations of financial fixed assets
+ Interest income on financial receivables
− Impairment of financial receivables
+ Rental income from real estate investments
− Management costs of real estate investments
+/- Capital gains/losses from disposal of financial investments
= Operating Result from Non-Core Activities [2]
= EBIT [1+2]
− Interest expense on financial liabilities
+/- Foreign exchange gains (losses)
= Net financial expenses
= EBT (Earnings Before Tax)

Financing Activities

- **Gains (losses) from subsidiaries and associates**
- **Finance costs (interest expense and similar)**
  - Interest expense accrued on borrowings
  - Permanent impairment losses on financial assets (impairment test)
  - Fair value changes of financial assets
- **Financial income** from investment activities: include income from cash and cash equivalents, dividends, gains from financial instruments, income from financial receivables, etc.

Hands-On: Financial Income and Financial Expenses

RISULTATO OPERATIVO	27.612	30.645	23.855	17.147	2.563	16.395	19.511	34.437
Valore Aggiunto	98.813	90.003	81.228	74.520	47.096	53.725	57.616	70.452
C. TOTALE PROVENTI E ONERI FINANZIARI	-5.231	-4.737	-4.263	-7.032	-3.344	-1.713	-1.916	-1.989
C.15. Tot. proventi da partecip.	0	465	0	0	0	0	0	0
di cui: verso contr.anti, collegate, contr.te e sottopost...	n.d.	n.d.	n.d.	n.d.	n.d.	n.d.	n.d.	n.d.
di cui: da imprese controllanti	0	n.d.	0	0	0	0	0	n.d.
di cui: da imprese sottoposte al controllo delle control...	0	n.d.	0	0	0	0	0	n.d.
C.16. TOT Altri Proventi	208	52	243	524	855	1.709	1.316	1.578
C.16.a. Da Crediti	0	0	0	0	0	0	0	0
di cui: verso contr.anti, collegate, contr.te e sottopos...	n.d.	n.d.	n.d.	n.d.	n.d.	n.d.	n.d.	n.d.
di cui: da imprese sottoposte al controllo delle contr...	0	0	0	0	0	0	0	n.d.
C.16.b. Da titoli iscr. imm.	0	0	0	0	0	0	0	0
C.16.c. Da titoli iscr. att.circol.	0	0	0	0	0	0	0	0
C.16.b+c. Proventi da Titoli	0	0	0	0	0	0	0	0
C.16.d. Proventi fin. Diversi	208	52	243	524	855	1.709	1.316	1.578
di cui: verso contr.anti, collegate, contr.te e sottopos...	95	n.d.	n.d.	n.d.	n.d.	n.d.	n.d.	n.d.
di cui: da imprese sottoposte al controllo delle contr...	n.d.	n.d.	n.d.	n.d.	n.d.	n.d.	n.d.	n.d.
C.17. Totale Oneri finanziari	4.622	3.969	4.916	6.297	3.727	3.743	2.801	2.712
di cui: verso contr.anti, collegate, contr.te e sottopost...	11	n.d.	n.d.	n.d.	n.d.	n.d.	n.d.	n.d.
di cui: da imprese sottoposte al controllo delle control...	n.d.	n.d.	n.d.	n.d.	n.d.	n.d.	n.d.	n.d.
C.17.bis Utili e perdite su cambi	-817	-1.285	410	-1.259	-472	321	-431	-855
D. TOTALE RETTIFICHE ATT. FINANZ.	0	629	-4.755	-2.498	-113	-166	8	-19

Example of Income Statement Reclassified by Management Area: Exceptional Items and Income Taxes

+/- Non-recurring gains/losses
+/- Revaluations/impairments of properties of an exceptional nature
+/- Capital gains/losses on disposal of business units
+/- Exceptional income/expenses (non-recurring)
= EBT (Earnings Before Tax)
− Current Taxes
+/- Deferred / (Prepaid) Taxes, net of reversals
− Income Taxes
= Net Income

Taxes: withdrawal of money from the company by the state

Simplifications:

- Calculate taxes as **a percentage of EBT**
- Assume that t**axes are paid in the same year in which they are accrued**

Net Income for the Year

- Represents the **economic result attributable to the owners (shareholders) of the company**
- **It is also recorded in the Balance sheet** - Equity
  - Net Income > 0: shareholders' equity increases
  - Net Income < 0 (loss): shareholders' equity is reduced
- The **Shareholders' Meeting**, upon approval of the financial statements, decides:
  - **Percentage of Net Income in Dividends' distributions**
  - **Percentage of Net Income to retain and reinvest :**
    - The retained portion increases Shareholders' equity (retained earnings)
    - It remains attributable to shareholders and may generate future profits that can be distributed in subsequent periods

Hands-On: Taxes and Net Income

RISULTATO PRIMA DELLE IMPOSTE	22.381	26.182	14.837	7.583	-894	14.516	17.603	32.429
20. Totale Imposte sul reddito correnti, differite e anti...	6.321	7.722	5.467	2.979	136	3.906	4.865	9.486
Imposte correnti	6.043	6.916	2.889	2.933	2.472	3.871	4.339	9.045
Imposte relative a esercizi precedenti	55	0	0	0	0	0	0	n.d.
Imposte differite e anticipate	223	806	2.578	46	-2.336	35	526	441
Imposte differite (+/-)	223	806	2.578	46	-2.336	35	n.d.	441
Imposte anticipate (+/-)	0	0	0	0	0	0	n.d.	n.d.
Prov. (oneri) da adesione al regime di trasparenza fis...	0	0	0	0	0	0	n.d.	n.d.
21. UTILE/PERDITA DI ESERCIZIO	16.060	18.460	9.370	4.604	-1.030	10.610	12.738	22.943
UTILE/PERDITA DI ESERCIZIO di pert. di TERZI	n.d.	n.d.	n.d.	n.d.	n.d.	n.d.	n.d.	n.d.
UTILE/PERDITA DI ESERCIZIO di pert. del GRUPPO	16.060	18.460	9.370	4.604	-1.030	10.610	12.738	22.943
Dipendenti	894	840	762	748	711	680	644	644

Campari Group — Income Statement (IFRS)

Consolidated Statement of Profit or Loss

	notes	for the year ended 31 December	
		2025	2024 reclassified[2]
		€ million	€ million
Gross sales		**3,648.6**	**3,653.5**
Excise duties[1]		(597.5)	(583.7)
Net sales	3 i.	**3,051.2**	**3,069.7**
Cost of sales	3 iii.	(1,211.1)	(1,277.4)
Gross profit		**1,840.1**	**1,792.3**
Advertising and promotional expenses	3 iv.	(547.1)	(513.3)
Contribution margin		**1,292.9**	**1,279.0**
Selling, general and administrative expenses	3 vi.	(780.6)	(886.6)
Other income (expenses) from business disposal	3 vi.	55.3	-
Operating result		**567.5**	**392.4**
Financial expenses	3 x.	(120.3)	(115.8)
Financial income	3 x.	69.6	38.5
Share of profit (loss) of joint-ventures	3 xii.	2.9	(34.8)
Profit (loss) from other investments	3 xii.	(59.4)	(24.7)
Profit before taxation		**460.3**	**255.6**
Taxation	3 xiii.	(127.3)	(63.0)
Profit for the period		**333.1**	**192.6**
Profit attributable to:			
Shareholders of the parent Company		346.3	201.6
Non-controlling interests		(13.2)	(9.0)
Basic earnings per share (€)		**0.29**	**0.17**
Diluted earnings per share (€)		**0.29**	**0.17**

(1) Excise duties where Campari Group acts as an agent.
(2) For details on the reclassification of figures for the year ended 31 December 2024, please refer to note 2 vi-'Change in Presentation'.

The "reclassified" 2024 column → Note (2) signals that 2024 comparatives have been restated ➔ any change in presentation be applied retrospectively to prior-period data, with reasons disclosed.
See: Annual Report p. 252 — Note 2 vi: Change in Presentation



Balance Sheet

Valuation Criteria for Items Recognized in the Balance Sheet (1/2)

When an item is recognized in the Balance Sheet, it may be measured according to one of the following methods:

1. **Acquisition Cost**

   - **Purchase Price** The price that the company **actually paid** to obtain the resource (or, in any case, to enjoy the benefits deriving from the ownership of the resource)

     Ex. : Price paid for the purchase of a production machine

   - **Production Cost** The cost that the company **actually incurred** to create the resource

     Ex. Monetary value of the production factors consumed to build a production machine

2. Use value → The present value of the cash flows that the company is able to obtain from the use of the resource.

*Ex. F*or a machine used to produce product X, these are the flows of revenues and costs associated with the production and sale of X (discounted to take into account the time value of money).

Balance Sheet: Valuation Criteria for Items Recognized in the Balance Sheet (2/2)

3. **Market Value (Fair Value)** → Price at which a resource can be **exchanged in the market**

> *Ex. The price that a company would be willing to pay to purchase a production machine*

The estimation of **Fair Value** is based on:

- **Binding sale agreements** for the asset in question
- Values expressed by an **active market**
- **Recent transactions comparable** in nature to the one being valued

Fair Value reflects objective values external to the firm, linked to the knowledge and estimates of sellers and buyers, and generally refers to the **market value**.

Assets – Hands on (OIC)

	31-12-2020	31-12-2019
Stato patrimoniale		
Attivo		
B) Immobilizzazioni		
I - Immobilizzazioni immateriali		
1) costi di impianto e di ampliamento	6.646	10.353
2) costi di sviluppo	13.600	150.323
3) diritti di brevetto industriale e diritti di utilizzazione delle opere dell'ingegno	3.717.257	1.274.077
4) concessioni, licenze, marchi e diritti simili	1.068.756	539.402
5) avviamento	13.431.901	14.810.099
6) immobilizzazioni in corso e acconti	28.052	2.194.076
7) altre	50.525.312	46.835.054
Totale immobilizzazioni immateriali	68.791.525	65.813.384
II - Immobilizzazioni materiali		
1) terreni e fabbricati	1.636.626.450	1.405.739.084
2) impianti e macchinario	75.444.613	58.231.976
3) attrezzature industriali e commerciali	38.906.324	31.760.168
4) altri beni	16.383.561	10.088.873
5) immobilizzazioni in corso e acconti	71.916.859	98.452.126
Totale immobilizzazioni materiali	1.839.277.808	1.604.272.226
III - Immobilizzazioni finanziarie		
1) partecipazioni in		
a) imprese controllate	0	0
b) imprese collegate	0	0
c) imprese controllanti	0	0
d) imprese sottoposte al controllo delle controllanti	0	0
d-bis) altre imprese	8.924	8.566
Totale partecipazioni	8.924	8.566
2) crediti		
a) verso imprese controllate		
esigibili entro l'esercizio successivo	0	0
esigibili oltre l'esercizio successivo	0	0
Totale crediti verso imprese controllate	0	0
d) verso imprese sottoposte al controllo delle controllanti		
esigibili entro l'esercizio successivo	0	0
esigibili oltre l'esercizio successivo	0	0
Totale crediti verso imprese sottoposte al controllo delle controllanti	0	0
d-bis) verso altri		
esigibili entro l'esercizio successivo	721.188	191.247
esigibili oltre l'esercizio successivo	12.189.964	9.983.066
Totale crediti verso altri	12.911.152	10.174.312
Totale crediti	12.911.152	10.174.312
3) altri titoli	167.848	167.848
4) strumenti finanziari derivati attivi	0	0
Totale immobilizzazioni finanziarie	13.087.925	10.350.727
Totale immobilizzazioni (B)	1.921.157.258	1.680.436.336
C) Attivo circolante		
I - Rimanenze		
1) materie prime, sussidiarie e di consumo	7.668.942	4.696.372
2) prodotti in corso di lavorazione e semilavorati	5.876	6.214
4) prodotti finiti e merci	307.351.834	271.090.452
Totale rimanenze	315.026.652	275.793.039
II - Crediti		
1) verso clienti		
esigibili entro l'esercizio successivo	100.523.345	82.949.428
esigibili oltre l'esercizio successivo	54.195	389.446
Totale crediti verso clienti	100.577.540	83.338.874
2) verso imprese controllate		
esigibili entro l'esercizio successivo	0	0
esigibili oltre l'esercizio successivo	0	0
Totale crediti verso imprese controllate	0	0
4) verso controllanti		
esigibili entro l'esercizio successivo	0	0
esigibili oltre l'esercizio successivo	0	0
Totale crediti verso controllanti	0	0
5) verso imprese sottoposte al controllo delle controllanti		
esigibili entro l'esercizio successivo	0	0
esigibili oltre l'esercizio successivo	0	0
Totale crediti verso imprese sottoposte al controllo delle controllanti	0	0
5-bis) crediti tributari		
esigibili entro l'esercizio successivo	38.835.042	26.986.178
esigibili oltre l'esercizio successivo	4.927.888	2.359.290
Totale crediti tributari	43.762.930	29.345.468
5-ter) imposte anticipate	63.312.288	57.157.955
5-quater) verso altri		
esigibili entro l'esercizio successivo	15.562.845	6.587.027
esigibili oltre l'esercizio successivo	98.735	103.814
Totale crediti verso altri	15.661.580	6.690.841
Totale crediti	223.314.338	176.533.138
III - Attività finanziarie che non costituiscono immobilizzazioni		
6) altri titoli	58.972.437	-
attività finanziarie per la gestione accentrata della tesoreria	0	0
Totale attività finanziarie che non costituiscono immobilizzazioni	58.972.437	0
IV - Disponibilità liquide		
1) depositi bancari e postali	617.662.826	604.459.325
2) assegni	100.013	500.000
3) danaro e valori in cassa	9.649.214	12.085.683
Totale disponibilità liquide	627.412.053	617.045.008
Totale attivo circolante (C)	1.224.725.481	1.069.371.186
D) Ratei e risconti	11.197.534	14.168.658

Assets: Overview non-current assets

B. Non-current assets

I – Intangible Assets → *Non-monetary assets without physical substance, identifiable and controlled by the company, capable of generating future benefits.*

Based on their useful life, they can be distinguished into:

- **Assets with indefinite useful life:** Goodwill, Trademarks
- **Assets with definite useful life:** Development Costs

II – Tangible Assets

III – Financial Assets

Assets: Intangible Assets

Goodwill ➔ represents the future potential contribution to the company's cash flow

Initial Value: Difference between the purchase price and the fair value at the transaction date of the acquired assets and liabilities.

- Positive difference → Assets in the BS
- Negative difference → Expense of the period

- **Subsequent measurement – valuation method:**

- Goodwill is not subject to amortization, but
- An **impairment test** must be performed at least once a year to verify that the recorded value is recoverable.
- Any **impairment loss** is recognized as an **expense of the period**.

Assets: Intangible Assets

Trademarks

- **Initial Value**: ***Cost Model***
  - **Price** actually paid to obtain the resource
  - **Cost** of internal production
- **Subsequent Value – valuation method**: *similar to Goodwill*

Development Costs → *Costs of internal and external design, including the portion of indirect costs attributable to the projects*

- **Initial Value**: ***Cost Model***
- **Subsequent Value – valuation method :**
  - Finite useful life: Cost model (net of amortization)
  - Indefinite useful life: Impairment test

Assets: Tangible Assets

Plant and Machinery

- **Initial Value: Purchase Cost**
  - **Price** actually paid to obtain the resource
  - **Cost** of internal production
- **Subsequent value – valuation method**
  - **Cost model:** net of accumulated depreciation, minus any impairment losses

Land

- **Initial Value: Purchase Cost**

Indefinite useful life, therefore it is never depreciated

Assets: Financial Assets

Equity Stocks ➔ Investments that a company holds in the equity of other companies, aimed at maintaining and developing a **long-term operating relationship**.

Other companies:

- **Subsidiaries** *(legal control vs de facto control)*:
  Control is presumed when the company holds, directly or indirectly, **50% + 1 of the voting rights in the ordinary shareholders' meeting**.
- **Associates** (*strong influence*)
- **Joint ventures** (*cooperation agreement*)

- **Initial Value: Purchase Cost** = Fair Value of the asset + Transaction costs
- **Subsequent Value**: ***Equity method***→ The carrying amount of the investment is **increased** or **decreased** each year to reflect the investor's **share of the investee's profits or losses**, and reduced by the amount of **any dividends received**.

Assets: Current Assets

Trade Receivables → Receivables from customers, reported in the financial statements at their **expected realizable value**, given by the difference between the **nominal value of the receivable and the expected loss**

- **Initial Value**: ***Purchase Costs***
- **Subsequent Value**: ***Impairment Test***

Inventories → Goods held for sale, or in the form of materials and supplies used in the production process and in the provision of services, including:

  - **Finished Products**
  - **Work in Progress**
  - **Raw Materials**
  - **Consumable Materials**

- **Recognition Value**: the lower of
  - **Purchase cost / Production cost** → including all related costs
  - ***Net realizable value*** → estimated selling **price** in the ordinary course of business, net of the estimated costs of completion and the estimated costs necessary to make the sale.

Assets: Cash and Cash Equivalents

The item includes:

- **Cash on hand**
- **Bank deposits (current accounts)**
- **Short-term marketable securities not subject to significant changes in value**

Recognition method: Recorded at their actual monetary value

Liabilities – Hands on (OIC)

Passivo		
A) Patrimonio netto di gruppo		
I - Capitale	2.000.000	2.000.000
II - Riserva da soprapprezzo delle azioni	103.291	103.291
IV - Riserva legale	400.000	400.000
VI - Altre riserve, distintamente indicate		
Riserva straordinaria	37.354.653	29.519.671
Versamenti in conto aumento di capitale	0	0
Riserva per utili su cambi non realizzati	38	73
Riserva da differenze di traduzione	(131.134)	(67.658)
Varie altre riserve	0	0
Totale altre riserve	37.223.557	29.452.086
VIII - Utili (perdite) portati a nuovo	1.424.850.699	1.254.954.528
IX - Utile (perdita) dell'esercizio	274.531.473	237.731.112
Totale patrimonio netto di gruppo	1.739.109.020	1.524.641.017
Patrimonio netto di terzi		
Capitale e riserve di terzi	101.427.551	90.985.205
Utile (perdita) di terzi	16.006.080	14.160.196
Totale patrimonio netto di terzi	117.433.631	105.145.401
Totale patrimonio netto consolidato	1.856.542.651	1.629.786.418
B) Fondi per rischi e oneri		
1) per trattamento di quiescenza e obblighi simili	406.946	342.192
2) per imposte, anche differite	7.755.308	5.192.931
4) altri	5.999.788	3.177.629
Totale fondi per rischi ed oneri	14.162.042	8.712.752
C) Trattamento di fine rapporto di lavoro subordinato	4.085.892	4.156.659
D) Debiti		
4) debiti verso banche		
esigibili entro l'esercizio successivo	34.018.159	30.273.421
esigibili oltre l'esercizio successivo	82.613.004	71.085.456
Totale debiti verso banche	116.631.163	101.358.877
5) debiti verso altri finanziatori		
esigibili entro l'esercizio successivo	3.745.196	4.592.706
esigibili oltre l'esercizio successivo	8.730.210	12.495.161
Totale debiti verso altri finanziatori	12.475.406	17.087.867
6) acconti		
esigibili entro l'esercizio successivo	359.666	866.418
Totale acconti	359.666	866.418
7) debiti verso fornitori		
esigibili entro l'esercizio successivo	1.021.558.312	889.031.024
Totale debiti verso fornitori	1.021.558.312	889.031.024
Totale debiti verso istituti di previdenza e di sicurezza sociale	26.716.349	24.293.389
14) altri debiti		
esigibili entro l'esercizio successivo	63.701.408	56.293.457
esigibili oltre l'esercizio successivo	203.455	1.088.675
Totale altri debiti	63.904.864	57.382.132
Totale debiti	1.268.253.470	1.112.659.333
E) Ratei e risconti	14.036.217	8.661.018
Totale passivo	3.157.080.272	2.763.976.179

Liabilities: Equity

Represents *the* ***set of rights held by shareholders over the company***. These rights originate from:

- Capital contributions made by shareholders
- Changes in the value of shareholders' equity resulting from the company's operating activities

It is by definition **residual** → everything that remains of the company's assets after deducting all liabilities.

It includes several items:

- **Share Capital** → established at the time of the company's incorporation and represents the **capital contributed by shareholders**.
- **Reserves**
- **Net Income (Loss) for the year** → ***the economic result attributable to the owners of the company***, generated during the accounting period (profit if positive; loss if negative).

Liabilities: Equity

Reserves → Additional rights held by shareholders, generated during the company's normal operating activities.

- ***Share premium reserve*** → arises when the company **issues shares at a price higher than their nominal value**
- ***Retained earnings*** → **profits from previous periods** that have not been distributed as dividend
- ***Legal reserve*** → **mandatory portion of profits that the law requires to be set aside to strengthen share capital**, until it reaches at least **20% of the share capital**. It cannot be distributed to shareholders and is intended to guarantee the company's economic stability.
- ***Statutory reserve*** → defined by the company's bylaws and may consist of portions of profits set aside by decision of the shareholders, aimed at covering losses or future needs. It is **not legally mandatory** and is more flexible in its use.

Liabilities: Provisions for Risks and Charges

Provisions are **liabilities with uncertain amount or timing**, for which the company has an obligation as a result of a **past event**

- Legal obligation
- Constructive (implicit) obligation

Each year, **provisions are recognized** in order to reach the best estimate of the amount the company would pay to:

- Settle the obligation
- Transfer it to a third party

Ex. Provision for legal disputes: *A former employee has sued the company for **wrongful dismissal**, claiming compensation of **€150,000**.*

- The company's lawyers consider it **probable that the company will lose the case** and estimate that the payment could amount to around **€100,000**.
- The company **has a present obligation** arising from a past event (the dismissal)
- The amount is **estimated but uncertain**
- There is a **high probability of payment**

➔ A **provision for legal risks of €100,000** is recognized. The provision will be **reassessed each year** based on new information.

Liabilities: Provisions for Risks and Charges

Employee-related provisions → Includes all the obligations of the company toward its employees.

- The amount already accrued must be projected into the future in order to estimate the amount that will be paid when the employment contract is terminated.

Note : TFR — Trattamento di Fine Rapporto

What is TFR?

- A **legally mandated, defined-benefit** deferred compensation mechanism, unique to Italy, governed by Art. 2120 of the Italian Civil Code.
- Accrues **for every employee** throughout the employment relationship, regardless of termination reason (retirement, resignation, or dismissal).

Liabilities: Debts

Financial liabilities that do not exhaust their effects within the company's normal operating cycle:

They include:

- **Bonds** → ***debt securities issued by the company to raise borrowed capital.*** The company guarantees subscribers the payment of interest (fixed or variable) and the repayment of principal at maturity
- **Bank borrowings** → financial debts contracted by the company with banks, credit institutions, and financial companies.
  - **Initial recognition**: Purchase cost
  - **Subsequent measurement**: Amortized Cost Model
- **Other Financial liabilities**

Liabilities: Debts

Trade payables → debts of the company toward **suppliers of goods, services, and professional services.**

Tax payables → amount that the company expects to pay to the **tax authorities**, applying the tax rates and tax regulations in force at the closing date of the accounting period.

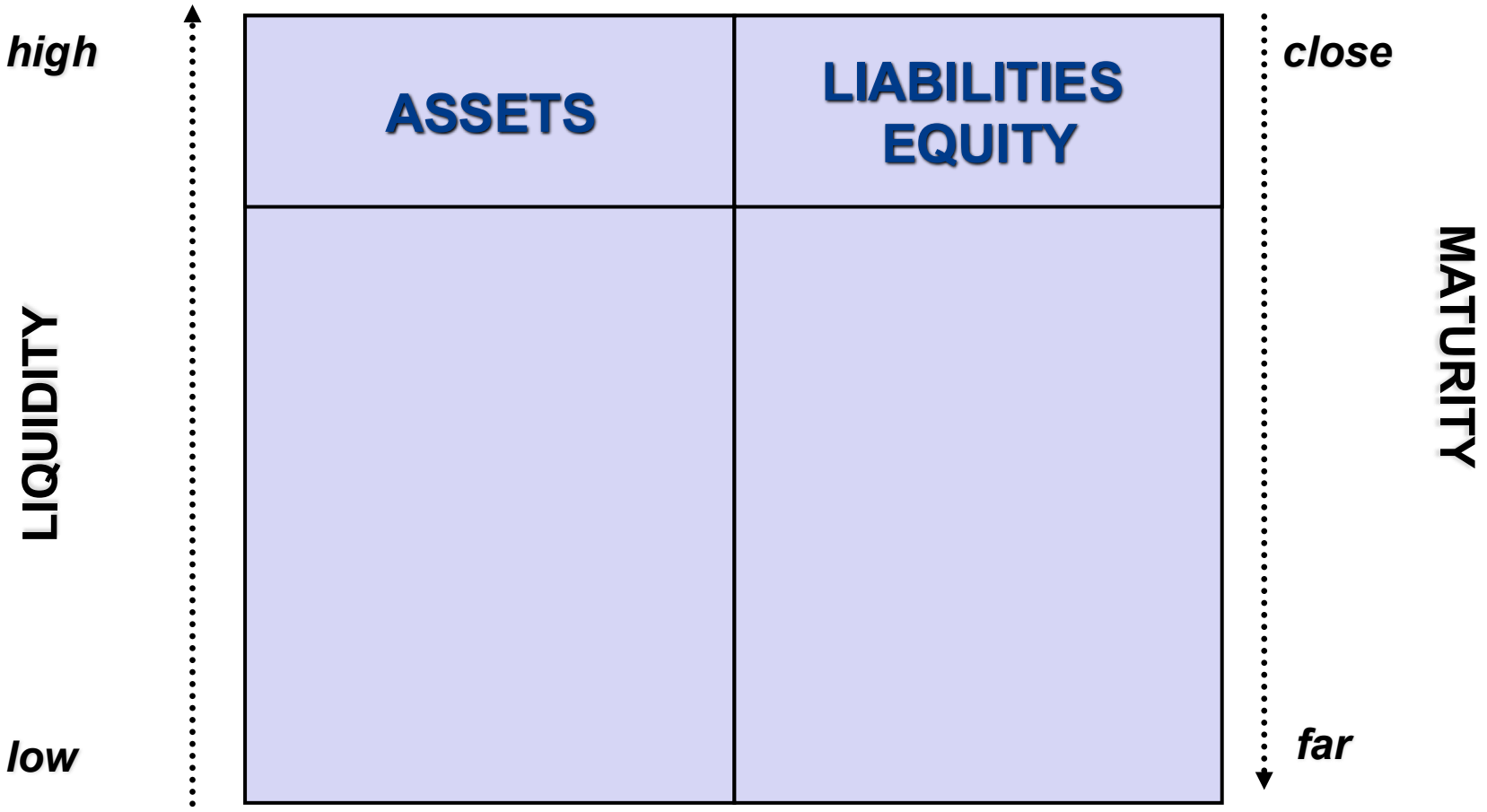


Balance Sheet: Current/Non-Current Classification

Balance Sheet: Current/Non-Current Classification

- The **reorganization of the Balance Sheet** according to the **"current/non-current classification" approach (IAS 1)** separates assets and liabilities into current and non-current, highlighting the company's **short-term and long-term solvency**
  - *What is the relationship between investments and sources of financing?*
- To classify the items of the Balance Sheet the following criteria are adopted:
  - **Assets**: ***liquidity criterion***
    - Ability to be transformed, in a shorter or longer period of time, into monetary resources
  - **Liabilities**: ***maturity criterion***
    - The time horizon within which the company must meet its obligations

Balance Sheet: Current/Non-Current Classification



Balance Sheet: Current/Non-Current Classification

<table>
<tr><th>ASSETS</th><th>LIABILITIES</th></tr>
<tr><td>CURRENT ASSETS
(convertible into cash within 12 months)</td><td rowspan="2">CURRENT LIABILITIES
(maturity within 12 months)</td></tr>
<tr><td rowspan="2">NON-CURRENT ASSETS
(convertible into cash after 12 months)</td></tr>
<tr><td>NON-CURRENT LIABILITIES
(maturity beyond 12 months)</td></tr>
<tr><td></td><td>EQUITY</td></tr>
</table>

Balance Sheet: Current/Non-Current Classification (1/2)

ASSETS	LIABILITIES
CURRENT ASSETS ***Immediate Liquidity*** Cash and bank deposits Government securities Bonds held for speculative purposes ***Deferred Liquidity*** Tax receivables (advance payments and VAT) Trade receivables (Allowance for doubtful accounts) Other receivables Accrued income **Inventories / Available assets** Inventories Advances to suppliers of raw materials or goods Prepaid expenses	**CURRENT LIABILITIES** Bank overdrafts (current accounts) Trade payables (accounts payable to suppliers) Payables to social security institutions Other payables Short-term portion of post-employment benefits (e.g. employee severance — TFR in Italy) liability Short-term portion of bank loans Short-term portion of bond payables Short-term provisions for risks and future charges Advances from customers Accrued expenses Deferred income

Balance Sheet: Current/Non-Current Classification (2/2)

ASSETS	LIABILITIES
NON-CURRENT ASSETS ***Net Tangible Assets*** Plant and machinery (Accumulated depreciation – plant & machinery) Vehicles (Accumulated depreciation - vehicles) Furniture and office equipment (Accumulated depreciation – furniture and office equipment) ***Net Intangible Assets*** Rights, patents and similar assets (Accumulated depreciation rights, patents and similar assets) ***Net Financial Assets*** Equity Investments Doubtful receivables Security deposits	**NON-CURRENT LIABILITIES** Post-employment benefit obligations – medium/long term Bonds payable – medium/long term Bank loans – medium/long term Provisions for risks and future charges – medium/long term **EQUITY** Share Capital (Treasury shares) Legal Reserve Other reserve Other Reserves Net Income (Loss) for the Year Retained Earnings (Losses carried forward)

Balance Sheet: Current/Non-Current Classification — Example

ASSETS	LIABILITIES
Immediate liquidity Cash, Bank current accounts Government securities ***Deferred liquidity*** Trade receivables Allowance for doubtful accounts (-) Other receivables Accrued income and prepaid expenses ***Inventories*** Ending Inventories **CURRENT ASSETS** Net tangible fixed assets Net intangible fixed assets Financial fixed assets (equity investments) **NET FIXED ASSETS**	Current liabilities Bank overdrafts Trade payables Tax payables Other short-term liabilities Accrued expenses and deferred income **CURRENT LIABILITIES** Other medium – and long-term liabilities Post-employment benefit obligations (TFR) **LONG-TERM LIABILITIES** Share capital Reserves Profit or loss for the year **EQUITY**

Balance Sheet: Current/Non-Current Classification

From a balance sheet reorganized in this way, it is possible to assess the financial **structure balance**:

- **Composition and structure of assets**:
  - Convertibility of items into monetary resources
  - Asset flexibility (non-current assets / current assets)
  - What risks are associated with the structure of assets?
- **Composition and structure of sources of financing**
  - Financial risk: weight of debt relative to equity
  - Risks related to the type of debt

- **Structural balance between the nature and variability of financing sources and the nature and variability of asset uses**
  - NWC (Net Working Capital): current assets – current liabilities
  - ***Degree of coverage of immediate obligations and assessment of short-term solvency***

Campari Group — Income Statement (IFRS)

Consolidated Statement of Financial Position
(before appropriation of results)

	notes	at 31 December 2025 € million	at 31 December 2024 € million
ASSETS			
Non-current assets			
Property, plant and equipment	4 ii.	1,448.8	1,421.3
Right of use assets	4 ii.	62.3	66.1
Biological assets	4 ii.	30.1	30.5
Goodwill	4 iii.	2,233.4	2,420.1
Brands	4 iii.	1,144.3	1,314.8
Other intangible assets	4 iii.	87.1	73.4
Interests in joint-ventures	3 xii.	10.3	8.8
Deferred tax assets	3 xiii.	73.2	101.5
Other non-current assets	4 iv.	36.8	98.3
Other non-current financial assets	6 iv.	21.6	10.2
Total non-current assets		**5,147.9**	**5,545.1**
Current assets			
Inventories	5 iii.	1,686.9	1,681.8
Biological assets	5 iii.	34.2	21.3
Trade receivables	5 i.	327.1	425.8
Other current financial assets	6 iii.	15.5	8.9
Cash and cash equivalents	6 ii.	703.3	666.3
Income tax receivables	3 xiii.	15.9	37.7
Other current assets	4 v.	102.7	96.3
Assets held for sale	4 viii.	77.9	-
Total current assets		**2,963.5**	**2,938.2**
Total assets		**8,111.4**	**8,483.3**
LIABILITIES AND SHAREHOLDERS' EQUITY			
Shareholders' equity			
Issued capital and reserves attributable to shareholders of the parent Company	7 iv.	3,862.8	3,854.0
Non-controlling interests	7 viii.	1.5	1.3
Total shareholders' equity		**3,864.2**	**3,855.3**
Non-current liabilities			
Bonds	6 v.	1,590.1	1,580.3
Loans due to banks	6 v.	627.6	916.2
Other non-current financial liabilities	6 v.	138.8	223.8
Post-employment benefit obligations	8 iv.	22.3	25.8
Provisions for risks and charges	8 i.	61.2	118.2
Deferred tax liabilities	3 xiii.	451.2	498.2
Other non-current liabilities	4 vi.	19.2	23.5
Total non-current liabilities		**2,910.4**	**3,386.1**
Current liabilities			
Loans due to banks	6 vi.	272.2	289.6
Other current financial liabilities	6 vi.	69.7	52.3
Trade payables	5 ii.	714.6	672.7
Income tax payables	3 xiii.	52.0	6.2
Other current liabilities	4 vii.	228.0	221.1
Liabilities held for sale	4 viii.	0.3	-
Total current liabilities		**1,336.7**	**1,241.9**
Total liabilities		**4,247.2**	**4,628.0**
Total liabilities and shareholders' equity		**8,111.4**	**8,483.3**

➢ Format: Current/Non-Current classification

Campari applies the current/non-current split. Non-current assets (€5,148M) are presented first — a common European IFRS layout.

➢ Goodwill + Brands = 42% of total assets

Goodwill (€2,233M) + Brands (€1,144M) = €3,377M — 42% of total assets. Each acquisition (Aperol, Grand Marnier, Espolòn, Courvoisier) generates goodwill and separately recognised brand intangibles. Under IFRS 3/IAS 36, goodwill is never amortised — tested annually for impairment. The 2025 decrease vs 2024 (€2,420M → €2,233M) reflects an impairment charge.

➢ BS does not show Net Debt directly

Bonds (€1,590M) + Bank loans LT (€628M) + ST (€272M) + other financial liabilities ≈ €2.7B gross debt. Cash = €703M. Net Debt ≈ €2.0B. The as-reported BS never presents Net Debt — it must be computed.

This is the reclassification exercise of the Capital Employed approach



Balance Sheet: reorganization — Capital Employed Approach

Balance Sheet: Capital Employed Approach

The **reorganization** of the **balance sheet** according to the "**capital employed approach" criterion** answers the question:

How much capital is invested in the business, where is it deployed, and how is it funded?

- The name "Capital Employed" refers to the total pool of capital put to work in the firm.
- The approach reveals the fundamental identity: **Capital Employed = Equity + Net Debt**.
- The left side (ASSETS) shows **where capital is deployed** (operating vs. non-operating assets)
- The right side shows **who provided it** (shareholders via equity; creditors via net debt).
- Items are classified by economic function — operating vs. financial — not by maturity

Balance Sheet: Capital Employed Approach

- **Current Operating Assets and Liabilities** → balance sheet items that are the balance sheet counterpart of revenues and costs arising from the ordinary buy-make-sell cycle, which determines the result of ordinary operations
- **Non-Current Operating Assets** → capital investment and divestment decisions affecting Operational Fixed Assets serving the core business
- **Non-Core Activities** → Non-operating real estate held for investment purposes; Receivables/payables arising from non-core operating income and expense (e.g., rental income from non-operating properties)
- **Financial liabilities** → Interest-bearing borrowings (short- and long-term) whose cost is recognised as financial expense in the income statement

Balance Sheet: Capital Employed Approach

ASSETS	LIABILITIES
OPERATING CURRENT ASSETS	OPERATING CURRENT LIABILITIES
NON-CURRENT OPERATING ASSETS	FINANCIAL LIABILITIES
NON-OPERATING ASSETS	NET TAXES
Non-recurring items (assets / liabilities)	
LIQUIDITY	EQUITY

Capital Employed Approach: Simplifications

- **Net Taxes** → Operating Current Assets and Liabilities
- **Non-recurring Assets and Liabilities** → **Ignored**, generally excluded from the simplified model
- **Cash and Cash Equivalents** → included in **Current Assets** if of limited amount (used to manage the needs of the operating cycle); if they represent **excess financial resources**, they are included in **Non-operating assets** (available for future uses not yet defined)

ASSETS	LIABILITIES
Current Operating Assets	Current Operating Liabilities
Operating Non-Current Assets	Financial Liabilities
Non-Core Assets	Equity

Capital Employed Approach: items

ASSETS	LIABILITIES
Current Operating Assets Trade receivables (allowance for doubtful accounts) Inventory Advances to suppliers (current) Accrued income and prepaid expenses (Oper. activities)	**Current Operating Liabilities** Current trade payables Payables to employees Payables to social security and welfare institutions Post-employment benefit obligations Accrued expenses and deferred income Provisions for risks and charges (Operating activities)
Operating Non-Current Assets Net tangible fixed assets Net intangible fixed assets Advances (payables) to suppliers of plant and equipment	**Financial liabilities** Bank borrowings Long-term loans (mortgages) Accrued expenses and deferred income Bonds payable
Non-Core Assets Cash and cash equivalents (cash surplus) Equity and bond securities Equity investments Financial receivables Real estate investments not related to core operations	**Equity (Own Funds)**

Capital Employed Approach: Net Debt (ND)

- All **cash** and **financial assets that can be immediately liquidated** are used to reduce **financial liabilities**.

Capital Invested in Core Operations

Total Capital Invested

ASSETS	LIABILITIES
Current Operating Assets	Current Operating Liabilities
Operating Non-Current Assets	**Net Debt (ND)**= Financial liabilities - Cash
Non-Core Assets	Equity (Own Funds)

Capital Employed Approach: Operating Net Working Capital (NWC)

- **Current Operating Liabilities** → in Current Operating Assets with (-) sign

<table>
<tr><th>ASSETS</th><th>LIABILITIES</th></tr>
<tr><td>Operating Net Working Capital (NWC)</td><td rowspan="2">Financial liabilities</td></tr>
<tr><td>Operating Non-current Assets</td></tr>
<tr><td>Non-Core Assets</td><td>Equity (Own Funds)</td></tr>
</table>

Capital Employed Approach: Operating Net Working Capital (NWC)

Traditional (Liquidity) WC = Current Assets − Current Liabilities. Used for short-term liquidity analysis. Includes cash, short-term securities and short-term financial debt — items with a **financial** nature, not an operating one.

Operating NWC = **Current Operating Assets − Current Operating Liabilities**.

- Excludes cash and short-term financial debt (both moved to the financing side).
- Reflects only items generated by the **buy-make-sell cycle**: trade receivables, inventories, trade payables, accruals.
- This is the analytically relevant measure for valuation and cash flow analysis, because it isolates the capital tied up in operations.